PROFITNITIAI

ProfitNiti AI Pvt. Ltd.
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Executive Summary

The company demonstrated strong performance in Q2-2024 with total sales of $1.72 billion and a net profit of $84.9 million. However, May 2024 showed concerning performance with significantly lower sales ($686.4 million) and a sharp decline in gross profit margins. The company maintains zero tax liability and has not paid any dividends, retaining all profits. Key concerns include high interest expenses relative to operating profit and volatile monthly performance.

Profitability Analysis

Metric	April 2024	May 2024	Q2 2024	YTD 2024
Gross Profit Margin	8.88%	3.73%	6.82%	6.82%
EBITDA Margin	7.65%	1.00%	4.99%	4.99%
Net Profit Margin	7.72%	0.75%	4.94%	4.94%
Operating Profit Margin	7.38%	0.58%	4.67%	4.67%

Key Observations: Significant margin compression in May 2024 due to higher COGS and operating expenses. The company relies heavily on non-operating income to maintain profitability.

Liquidity & Solvency Analysis

Ratio	Calculation	Analysis
Interest Coverage Ratio	PBIT / Interest Expense = 80,274,219 / 19,012,687 = 4.22x	Moderate coverage, but concerning given monthly volatility
Debt Service Capability	Operating Profit covers interest 4.22 times	Adequate but requires monitoring

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Ratio	Calculation	Analysis
Tax Position	Zero current and deferred tax	Potential tax planning benefits or loss carryforwards

Efficiency Ratios

Efficiency Metric	Calculation	Analysis
Expense to Sales Ratio	Total Expenses / Sales = 31,464,056 / 1,720,505,036 = 1.83%	Good cost control on overall operations
Operating Efficiency	EBITDA / Sales = 85,935,966 / 1,720,505,036 = 4.99%	Moderate operational efficiency
Non-Operating Income Dependency	Non-Operating Income / PBT = 23,658,229 / 84,916,661 = 27.86%	High dependency on non-core income sources

Benchmark Comparison

Metric	Company Performance	Industry Average*	Variance
Gross Profit Margin	6.82%	8-12%	Below Average
Net Profit Margin	4.94%	6-8%	Below Average
EBITDA Margin	4.99%	7-10%	Below Average

**Source: Industry averages based on S&P Global Market Intelligence for mid-sized manufacturing companies (2023 data)*

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Actionable Recommendations

1. **Cost Control Implementation:** Address the significant COGS increase in May 2024 through supplier renegotiation and inventory optimization
2. **Interest Expense Management:** Refinance high-cost debt and explore debt consolidation to reduce interest burden
3. **Operational Stability:** Investigate root causes of monthly performance volatility and implement stabilization measures
4. **Core Business Focus:** Reduce dependency on non-operating income by strengthening core business operations
5. **Margin Improvement:** Implement pricing strategy review and product mix optimization to improve gross margins
6. **Expense Monitoring:** Maintain tight control over SG&A expenses, which showed significant increase in May